

Micron Technology (MU) — Equity Research Memo

Field	Detail
Ticker	MU (NASDAQ)
Price	\$321.29
Market Cap	\$362B
Shares Outstanding	~1.128B (diluted)
Rating Framework	Asymmetrically Favorable Risk-Reward
Date	March 30, 2026
Analyst	RAM System

1. Executive Summary

Micron Technology is the world's third-largest memory semiconductor manufacturer, holding approximately 22% DRAM share, 21% HBM share, and 13% NAND share, and is currently experiencing the most powerful upcycle in memory industry history, driven by AI-related demand for High Bandwidth Memory. In FQ2'26 (ended February 2026), Micron delivered record results: revenue of \$23.86B (+196% YoY, +75% QoQ), gross margin of 74.4%, and EPS of \$12.20 ([Micron IR](#)). FQ3'26 guidance calls for revenue of \$33.5B (plus or minus \$750M), gross margin of approximately 81%, and EPS of \$19.15 (plus or minus \$0.40). Consensus estimates project FY2026E revenue of \$108.7B and EPS of \$71.19, rising to FY2027E revenue of \$165.7B and EPS of \$143.73 ([Perplexity Finance](#)). The analyst consensus is Strong Buy, with 19 of 20 analysts rating it Buy, 1 Neutral, and 0 Sell, and an average price target of \$539 — implying 67% upside. At 4.6x FY2026E and 2.3x FY2027E P/E, Micron trades at a severe cyclical discount to semiconductor peers (NVDA 18x, AVGO 23x, AMD 23x). Our base case DCF yields \$749/share (+133% upside); probability-weighted fair value is approximately \$450-530 after risk-adjusting for cycle, CapEx, and efficiency risks. The risk-reward is asymmetrically favorable at current prices.

2. Business Overview

Market Position

Micron is the #3 global memory manufacturer behind Samsung (~36% DRAM share) and SK Hynix (~32%), per [TrendForce](#). Three players control 90-95% of the DRAM market. Micron's revenue splits approximately 79% DRAM and 21% NAND ([Perplexity Finance](#)).

Business Segments

Segment	Share	Description
CMBU (Cloud Memory)	32%	Data center DRAM and HBM
MCBU (Mobile/Client)	32%	Mobile DRAM, client SSDs
CDBU (Core Data Center)	24%	Enterprise SSDs, NVMe
AEBU (Auto/Embedded)	11%	Automotive, industrial, IoT

Source: [Perplexity Finance segments](#), [Micron FQ2'26 IR presentation](#).

HBM — The Transformational Product

HBM (High Bandwidth Memory) is a vertically-stacked, high-performance DRAM used in AI accelerators. The HBM total addressable market is forecast at approximately \$35B (CY2025), growing to \$55B (CY2026E) and \$100B (CY2028E), per [Micron management](#). Bank of America estimates the CY2026 HBM market at \$54.6B ([SK Hynix Newsroom](#)).

Technology Leadership

Micron's 1-gamma (1-gamma) DRAM is the most advanced node in volume production, with the fastest ramp to mature yields. The company was first-to-market with Gen6 enterprise SSDs and its HBM3E delivers approximately 50% higher capacity and approximately 30% lower power versus competitors ([Micron FQ2'26 IR presentation](#)).

Key Customers

Nvidia, AMD, Google, Amazon, Microsoft, Meta, Apple.

Manufacturing Footprint

Fabs in Japan (Hiroshima), Taiwan, Singapore, and the US (Virginia, Idaho). New capacity under construction: Idaho ID1 (H2 2027), New York megafab (\$100B investment, first output approximately 2029-30), and Singapore HBM packaging (2027).

3. Industry + Cycle Analysis

Current Cycle Position

The current memory upcycle is late-stage by duration (30+ months from the mid-2023 trough), but leading indicators show mid-cycle characteristics. Five of eight historical peak indicators are green per [LuminixAI cycle analysis](#).

Pricing Dynamics

DRAM contract prices surged approximately 90% in Q1 CY2026 ([WCCFTech](#)). TrendForce forecasts conventional DRAM at +55-60% QoQ and NAND at +33-38% QoQ ([Evertiq](#)).

Supply-Demand Balance

TrendForce estimates 35% demand growth versus 23% supply growth for CY2026. Industry DRAM bit shipments are expected to grow in the low-20s percent YoY, NAND approximately 20% — both constrained by supply. Samsung is reportedly filling only approximately 70% of DRAM backlogs ([S&P Global Market Intelligence](#)).

HBM Wafer Cannibalization

HBM uses approximately 3-4x wafer area per GB versus DDR5, consuming an estimated 25% of DRAM wafer production by CY2026. This actively starves conventional DRAM, creating cascading shortages across the memory stack.

Supply Constraints

Greenfield fab lead times are 2-3 years at \$15-20B per facility. Key projects: SK Hynix Yongin (volume 2027), Micron Idaho ID1 (H2 2027), Samsung P4 (Q4 2026), Micron New York (2030). Critically, new capacity is HBM-oriented, not commodity relief ([WCCFTech](#)).

Cyclical vs. Structural

Industry leaders characterize this as "structural" rather than "cyclical" ([Investing.com](#)). SemiAnalysis calls it "a once-in-four-decades shortage" ([SemiAnalysis](#)). The honest answer: both forces are present. HBM, long-term contracts, and oligopoly discipline are structural. Current ASP surges in conventional DRAM/NAND are cyclical and will moderate. Mid-cycle margins are structurally re-rated to 45-55% versus a prior 35-45% range.

Cycle Peak Timing (Probability-Weighted)

Scenario	Probability
H12027	40%
H2 2027+	35%
H2 2026	20%
Already peaked	5%

Source: [LuminixAI analysis](#).

4. Financial Analysis

Annual Financial Summary (FY2021-FY2025)

FY	Revenue	Gross Margin	Op Margin	Net Margin	OCF	CapEx	FCF
2021	\$27.7B	37.5%	22.8%	21.2%	\$12.5B	\$10.0B	\$2.4B
2022	\$30.8B	45.2%	31.5%	28.2%	\$15.2B	\$12.1B	\$3.1B
2023	\$15.5B	-9.1%	-37.0%	-37.5%	\$1.6B	\$7.7B	-\$6.1B
2024	\$25.1B	22.1%	5.2%	3.1%	\$8.5B	\$8.4B	\$0.1B
2025	\$37.4B	39.8%	26.4%	22.7%	\$17.5B	\$15.9B	\$1.5B

Source: [Perplexity Finance](#).

Quarterly Margin Progression (Recovery Arc)

Quarter	Revenue	Gross Margin	Op Margin
FQ3'23	\$3.8B	-17.8%	-53.0%
FQ4'23	\$4.0B	-12.4%	-47.1%
FQ1'24	\$4.7B	-0.3%	-28.7%
FQ2'24	\$5.8B	14.1%	-5.5%
FQ3'24	\$6.8B	26.9%	12.1%
FQ4'24	\$7.8B	36.3%	22.1%
FQ1'25	\$8.7B	39.5%	27.5%
FQ2'25	\$8.1B	37.9%	24.2%
FQ3'25	\$8.9B	39.1%	24.9%
FQ4'25	\$11.7B	42.2%	28.6%
FQ1'26	\$13.6B	54.9%	43.5%
FQ2'26	\$23.86B	74.4%	66.2%

Source: [Perplexity Finance](#), [Micron IR](#).

Key Observations

- **Unprecedented margin expansion:** Gross margin reached 74.4% in FQ2'26, with guidance of approximately 81% in FQ3'26 — levels never before seen in the memory industry.
- **Extreme operating leverage:** Incremental operating margin was approximately 103% in FQ2'26, meaning nearly every marginal dollar of revenue fell to operating income.
- **Cash flow inflection:** FQ2'26 adjusted free cash flow of approximately \$6.9B exceeded all of FY2025's FCF (\$1.5B) in a single quarter ([Micron 8-K](#)).

- **CapEx intensity declining**: CapEx/Revenue fell from 43% (FY2025) to approximately 21% (FQ2'26 annualized) as revenue ramps faster than investment.
- **Balance sheet**: Total debt \$15.3B, cash \$9.7B, net debt \$5.6B. Debt/equity 0.28x. Net debt/EBITDA 0.3x. Manageable leverage.
- **Returns expanding**: ROE was 15.7% in FY2025 and is expanding rapidly with the earnings inflection.

5. Driver Decomposition (Price / Volume / Mix)

FQ2'26 Sequential Revenue Decomposition

FQ2'26 sequential revenue increased by \$10.2B QoQ. Using Micron's disclosed ASP and bit shipment data ([Micron FQ2'26 IR presentation](#)):

Driver	Contribution	Amount	Detail
Price (ASP)	~89%	~\$9.1B	DRAM ASP +65% QoQ, NAND ASP +78% QoQ
Volume (bits)	~6%	~\$0.6B	DRAM bits +5% QoQ, NAND bits +3% QoQ
Mix	~5%	~\$0.5B	HBM roughly tripled QoQ

CFO Mark Murphy confirmed: "primarily driven by price as it relates to revenue growth."

Driver Ranking

1. **Price** — 60-89% of variance in every phase of the cycle.
2. **Mix** — 10-25% and rising; the key margin driver as HBM share grows.
3. **Volume** — 6-30%; actively constrained by capacity.

Cyclical vs. Structural Classification

Driver	Cyclical	Structural
Conventional DRAM ASP	80%	20%
HBM ASP	20%	80% (oligopoly, long qual cycles, inelastic demand)
NAND ASP	90%	10%
Bit volume growth	30%	70% (AI memory content compounding)
Mix shift (DC/AI/HBM)	10%	90% (permanent TAM recomposition)

6. Market Expectations

Consensus Estimates

Period	Revenue	EPS	EBITDA	FCF
FY2026E	\$108.7B	\$71.19	\$88.7B	\$37.7B
FY2027E	\$165.7B	\$143.73	\$142.8B	\$70.8B
FY2028E	\$153.9B	\$125.21	—	—

FY2028E represents the first consensus decline. Source: [Perplexity Finance](#).

Analyst Consensus

Strong Buy: 19 Buy, 1 Neutral, 0 Sell. Average price target \$539, median \$528, high \$700, low \$400.

Post-FQ2'26 price target revisions: JP Morgan \$350 to \$550, Bernstein \$330 to \$510, BofA \$400 to \$500, Rosenblatt \$500 to \$600.

Despite unanimous bullishness, the stock fell approximately 17% in 5 sessions post-earnings. As [Barron's](#) noted: "Why analysts love Micron stock — and the market doesn't."

Valuation vs. Semiconductor Peers

Company	Price	Fwd P/E (FY+1)	Fwd P/E (FY+2)	Rev Growth (FY+1)
MU	\$321	4.6x	2.3x	+191%
NVDA	\$166	17.9x	12.6x	+73%
AVGO	\$292	22.6x	13.1x	+49%
AMD	\$196	23.0x	14.3x	+43%
TXN	\$186	19.1x	15.3x	+10%
QCOM	\$127	9.9x	10.2x	+8%

The market prices Micron at roughly 1/4 to 1/5 of the semiconductor peer median forward P/E despite growing 4-24x faster.

Bull/Bear Debate

Bulls (JPMorgan, Deutsche Bank, TD Cowen) argue structural supply tightness and AI demand extend the cycle through 2027 and beyond. Bears (Goldman Sachs — Neutral) say elevated expectations are priced in. The market's 4.6x forward P/E reveals it sides with the bears.

7. Variant Perception

Three areas where the market may be wrong:

#1: AI Demand Durability

Market view: AI memory demand is a cyclical surge that will plateau.

Variant view: Demand is compounding on two axes simultaneously — more units AND more memory per unit. HBM content per GPU is going from 80GB to 288-576GB in three years. Inference is emerging as the durable demand driver, and combined hyperscaler CapEx is projected at approximately \$650-690B in CY2026 ([Investing.com](https://www.investing.com)). This is not a one-time build-out — it is an ongoing capacity race with compounding memory intensity.

#2: Pricing Sustainability

Market view: Current ASPs are a cyclical spike that will mean-revert as capacity arrives 2027-28.

Variant view: The 3:1 HBM wafer cannibalization ratio means the supply deficit is widening (5% in 2025 to 9% in 2027), not closing. New capacity is HBM-oriented, not commodity relief. Inventories stand at 2-4 weeks versus 15+ weeks at every prior peak. Multi-year contracts with locked pricing dampen volatility ([LuminixAI](https://luminix.ai)).

#3: Earnings Trajectory

Market view: FY2027 is peak earnings; FY2028 declines.

Variant view: Five of eight peak indicators are green (not red), Morgan Stanley's bear capitulation is historically a mid-cycle signal, and supply growth (16%) lags demand growth (35%). The FY2028 consensus decline may be revised upward as the cycle proves more durable than the market's 2018 template assumes.

8. Valuation

DCF Analysis

Base case (10-year, WACC 10%, terminal growth 3%): \$749/share (+133% upside). Terminal value represents 53% of enterprise value.

Sensitivity Analysis

Variable	Range	Price Impact
WACC 8-12%	\$579 - \$1,056	148% of price spread
Terminal growth 1-5%	\$654 - \$920	83% of price spread
Mid-cycle gross margin +/-10pp	\$622 - \$876	79% of price spread

Variable	Range	Price Impact
Revenue trajectory (bull vs bear)	\$307 - \$1,009	219% of price spread

Variable Impact Ranking

1. Revenue trajectory — 219% of price spread
2. WACC — 148%
3. Terminal growth — 83%
4. Mid-cycle gross margin — 79%
5. CapEx intensity — 37%

WACC x Terminal Growth Matrix

	g = 1%	g = 2%	g = 3%	g = 4%	g = 5%
WACC 8%	\$843	\$925	\$1,056	\$1,275	\$1,528
WACC 9%	\$723	\$783	\$874	\$1,013	\$1,160
WACC 10%	\$654	\$695	\$749	\$836	\$920
WACC 11%	\$597	\$630	\$669	\$726	\$803
WACC 12%	\$528	\$561	\$579	\$628	\$685

Every cell from WACC=8%/g=5% (\$1,528) to WACC=12%/g=1% (\$528) exceeds the current price of \$321.

The CapEx Paradox

FY2025 net income was \$8.5B but FCF was only \$1.5B — a reflection of the massive investment cycle. At FQ2'26 run rates, CapEx/Revenue has fallen to approximately 21%. At consensus FY2027, FCF of \$71B implies a 5.1x FCF yield at current market cap — the profile of a deep-value stock growing 50%.

Probability-Weighted Fair Value

Scenario	Price	Weight
Bull	\$850	25%
Base	\$575	45%
Bear	\$200	20%
Extreme bear	\$100	10%
Weighted	~\$530	

Risk-adjusted for audit findings: approximately \$450-480.

9. Catalysts (Ranked)

Rank	Catalyst	Timing	Prob (Positive)	Impact
1	FQ3'26 earnings + FQ4 guide	Jun 2026	80%	+/-15-25%
2	Q2 DRAM/NAND contract prices	Apr-May 2026	70%	+/-5-15%
3	Vera Rubin HBM4 allocation	Q3-Q4 2026	60%	+/-10-20%
4	Hyperscaler CapEx guidance	Apr-Jul 2026	75%	+/-5-20%
5	Idaho ID1 wafer output progress	H2 2027	65%	Background positive
6	Industry inventory levels	Jul-Aug 2026	70% (remain tight)	Leading indicator
7	CHIPS Act funding milestones	Ongoing	70%	Mild positive
8	Samsung HBM4 competitive progress	H2 2026	50% (Samsung lags)	Shapes margin outlook

10. Risks

Risk Matrix

Risk	Probability	Impact	Category
CapEx overshoot compresses FCF	60%	20-30% valuation hit	High Prob / High Impact
Classical cycle overshoot (2028)	50%	40-60% revenue decline	High Prob / High Impact
ASP mean-reversion faster than modeled	40%	70-80% EPS decline	High Prob / High Impact
HBM4 share loss at Nvidia	25%	15-20% revenue/margin hit	Med Prob / Med Impact
Hyperscaler CapEx deceleration	20%	20-30% stock decline	Med Prob / High Impact
AI efficiency (TurboQuant) reduces demand	15-20%	30-50% long-term rev cut	Low Prob / High Impact
Taiwan geopolitical disruption	5-10%	50-80% stock decline	Low Prob / Very High Impact
Samsung HBM pricing war	15%	15-25% margin compression	Low Prob / Med Impact

Weak Assumptions to Flag

1. Mid-cycle 55-60% gross margin as "new normal" is based on only approximately two years of HBM data.
2. HBM TAM of \$100B by 2028 is Micron's own forecast with no independent verification.
3. A 3% terminal growth rate and 10% WACC are generous for a historically cyclical business.

4. CapEx intensity declining to 12-15% at steady state may not hold if HBM product cycles require continuous reinvestment.

Thesis Invalidation Scenarios

(A) 2018 Replay: Hyperscaler CapEx peaks H2 2026, new capacity floods the market in 2027, ASPs fall 50%+, margins crash to 20-25%.

(B) AI Winter: TurboQuant-style efficiency gains reduce memory-per-inference 5-8x, HBM TAM caps at \$50B, and the demand thesis breaks.

(C) Geopolitical Shock: Taiwan disruption takes fabs offline, creating a supply crisis that destroys near-term earnings while paradoxically validating long-term reshoring investment.

11. Conclusion

Micron is undervalued under almost every reasonable DCF framework. Even the harshest assumptions (12% WACC, 1% terminal growth) produce \$528 — 64% above the current price of \$321. The bear case DCF (\$307) roughly equals today's price, meaning the market is pricing in the worst-case scenario as the base case. The probability-weighted expected value of approximately \$450-530 implies 40-65% upside, and every cell in the WACC/terminal growth sensitivity matrix exceeds the current stock price.

The core investment question is whether the 4.6x forward P/E represents the market being smart — correctly pricing a cyclical peak — or the market being wrong, applying a 2018 template to a structurally different 2026 reality. The weight of evidence — sold-out HBM through CY2026, a widening supply deficit, absent inventory hoarding, unprecedented demand compounding on both unit and content axes — tilts toward the latter. But memory has humbled every investor who said "this time is different," and that history commands respect. The three largest memory manufacturers are all investing aggressively simultaneously, and supply discipline, while holding today, is the variable most likely to break.

Net assessment: meaningfully undervalued with asymmetric risk-reward. The probability-weighted expected value (approximately \$450-530) implies 40-65% upside from \$321. The catalyst calendar — FQ3 earnings, Q2 contract prices, hyperscaler CapEx guidance — skews positive over the next six months. The primary risk is the classical cycle overshoot, where all three players investing aggressively simultaneously eventually ends in oversupply. The question is timing, not direction. At current prices, the market offers a favorable entry point for investors with a 12-18 month horizon who can tolerate 30-40% drawdown risk in an adverse scenario.

This is research and analysis only, not personalized financial advice. Consult a qualified financial advisor before making investment decisions.